

TURBULENT TIMES

Cash-strapped carrier Go First filed for bankruptcy in early May

	FY16	FY17	FY18	FY19	FY20	FY21	FY22
Sales (₹ crore)	2,977.38	3,588.27	4,590.09	6,029.72	7,051.63	2,171.75	4,183.77
PBDITA (₹ crore)	395.61	551.21	561.90	409.86	442.17	318.83	191.68
Profit after tax (PAT; in ₹ crore)	150.24	205.25	152.08	123.34	-1,270.92	-870.48	-1,807.91
Return on total assets (%)	0.4	4.3	1.6	-2	-13.9	-6.1	-11.8
Return on capital employed (%)	0.6	6.1	2.9	-5.7	-22.1	-8.4	-16.5

PBDITA: Profit before depreciation, interest, tax and amortisation

Source ProwessIQ

54 | International Arbitration Centre (SIAC) order seeking the company take all reasonable steps for despatch of engines to the low-cost carrier (LCC). Go First had approached SIAC seeking compensation in excess of ₹8,000 crore, other final relief and interim emergency relief, citing P&W's chronically faulty engines, its decision to suspend MRO activity from May 2022, and its proposal to give minimal induction slots.

The carrier's decision to pursue litigation despite obtaining a favourable ruling in SIAC puzzles many. They say the aggression displayed since May 2 by the airline—promoted by the more than 250-year-old Wadia group—may have been prompted by a desire to jump the queue for engines over other customers. They also feel the airline's stated claim of seeking a staggering \$1.1 billion in damages from P&W would have to be amply substantiated in foreign jurisdictions. "Whenever we approached them with a solution, they [Go First] would display extreme hostility," informs another P&W executive.

BT could not get Go First's version on these claims, as it declined to comment saying the matter is sub judice.

In a press release issued the day it made the bankruptcy filing, Go First said that nearly 50 per cent of its Airbus fleet was compromised due to faulty engines. The airline has a fleet of 59 A320neo and A320ceo aircraft, according to the company website. In a statement, the airline claims that apart from 28 of its A320neo aircraft, around 50 aircraft of IndiGo and 20 turboprop aircraft of SpiceJet were also grounded due to issues with P&W's engines. However, neither of its

competitors has witnessed any significant curtailment of operations. Market leader IndiGo, which correctly anticipated a crisis brewing due to problems with the new GTF engines, started switching to Commercial Fan Motor (CFM) in 2019. But Go First stuck to P&W.

A TURBULENT JOURNEY

Go First was launched as Go Air in 2005 (even before IndiGo) by Jehangir 'Jeh' Wadia, the younger son of Wadia group Chairman Nusli Wadia, at a time when low-cost aviation was slowly finding a foothold in India. A savvy communicator, one could speak to him on everything from government policy to rock music for hours. Among staff at the company's Paper Box House office in Mumbai's Andheri East suburb, he was known as a tough taskmaster who was also open to experimenting with new ideas. Within a few months of its launch, the LCC started a direct flight between Mumbai and Sri-nagar against the advice of industry veterans. However, the flight proved to be a hit with both leisure and business travellers.